

Long-term borrowings/ FCF

The next ratio we need to understand is Long Term Borrowings/ Free Cash Flow. This ratio shows the time taken by the company. If the entire free cash flow was used to repay borrowings i.e., the company decided to just pay borrowings and nothing else.

Effective Borrowing Cost	17%	14%	13%	23%	13%	13%
Credit Rating of the firm over years	CRISIL	CRISIL	CRISIL	CRISIL	CRISIL	CRISIL
Long term borrowings / FCF	1%	-6%	1%	3%	8%	-31%

This company has very little loan and can easily repay from the free cash flow generated annually. Thus, the long-term borrowings are very low for this company. There are cases possible where the long-term borrowings are more than 10-12 times of company's free cash flow.

It is best to avoid companies for investment which have extremely high debt. This number is, however, quite dependent on the nature of the business industry. As one gets more sophisticated investors, they may go ahead with high debt companies too.

To understand the nature of industry one must compare any give company with its competitors.

